

9708/12/o/n/2018

1-B:

A: The first statement is a positive statement as it can be objectively analyzed, as we can test this statement that , in the past three years, they had carried out the biggest merger in the history using factual evidence

B: Here, an opinion or a value judgement is presented, which says that the “business needs to improve its ethical standards”, representing a “normative statement”.

C: Again, this is a factual statement , thus making it a positive statement.

D: The fact that the structure of the business has been simplified or not can be analyzed objectively and an answer in form of yes or no can be obtained , making it a “positive statement”

2-D:

Opportunity cost is the real cost of choosing an option and not the another, that is, the value of the next best alternative foregone.

If a country moves from point R to point S, more of good X will be produced from “X1 TO X2”. This means that less of good Y will be produced, and the output of good Y will decrease from “Y1 TO Y2”.

This means that the opportunity cost will be “Y1Y2”

3-A:

Rate of transition can be calculated through the formula:

$$\text{NEW-OLD/OLD} * 100$$

The rates of transition of countries are as follows:

Czechia: 14.28%

Hungary: 16.67%

Romania: 33.33%

Slovakia: 33.33%

The slowest rate is in Czechia, thus making option A correct

4-c:

A: Free goods are those goods which are unlimited in supply, and due to the absence of the basic principle of scarcity, their consumption involves no opportunity cost, and also no allocative mechanism is used to allocate them. This makes it evident that toys are not free goods.

B: Toys are not merit goods since they do not generate any external benefits that are benefits enjoyed by the third party not directly involved in the transaction, that is, in the production or consumption of toys without making any payments.

C: Toys are private goods, this is because the business woman had incurred a transaction to purchase the toys, in-order to set up the charity. Moreover, they are excludable, as her attempt to purchase toys by making payments must have restricted other individuals from purchasing them. They are also rival as consumption of toys by the children must have reduced the consumption for other individuals. **Importantly, an allocative mechanism known as "price mechanism" can be used.**

D: They cannot be public goods, as public goods are solely provided by the public sector, and exhibit the features of non-excludability, that is, when payment by one individual does not restrict another individual from purchasing them, and even the non-payers benefit from it, and therefore exhibit the "free-rider problem." They are also non-rival as consumption by one individual does not reduce consumption by another individual. **Since, this is not the case with toys, they cannot be public goods.**

5-B:

A-When new firms enter the industry, the supply curve of the industry would not shift to the left at any given price, instead it would shift to the right.

B – When new firms enter the industry, the supply curve of the industry that is a **group of productive enterprises or organizations that produce or supply goods or services**, will shift rightwards, therefore making this option correct.

C – The downward movement along the supply curve would have resulted because of a decrease in demand. Due to new firms entering the industry, the demand would not decrease, thus making this incorrect.

D - The upward movement along the supply curve would have resulted because of an increase in demand. Due to new firms entering the industry, the demand would not increase, thus making this incorrect.

6-D:

We are interested in an option that results in a leftward shift in the demand curve for public transport.

A-When the cost of running individual car, that is a substitute, rises, the demand for public transport increases, since there is a positive relationship between the price of one good and the demand for another in case of substitutes.

B – Regulation by the government through which an individual is banned from driving may reduce the demand for individual cars, causing people to switch to and increase the demand for public transport.

C-When the price of public transport rises, there will be a contraction in quantity demanded for public transport, instead of a shift.

D-when the quality of public transport declines, individuals would reduce the demand for it, and shift to private transport, thereby resulting in a leftward shift in the demand curve for public transport, thus making this correct.

7-C:

There are two goods, good X and good Y.

Positive cross elasticity of demand represents “substitutes”

A reduction in the price of good Y will cause a reduction in demand for good X, that is , the substitute good , since there is a positive relationship between the price of one good and demand for another in case of substitutes.

As mentioned above that there will be a fall in the demand for good X , thus making option A incorrect.

Similarly, a fall in price of good Y would result in an extension in qty demanded of good Y, rather than a decrease in demand for good Y, thus making B incorrect



As can be seen in the figure above that a fall in demand leads to a surplus and in turn a fall in prices, this is why , price of “good X” will decrease, thus making option C correct.

And , it can also be seen above that there is a contraction in equilibrium qty or qty supplied of good X, thus making option D incorrect.

8-C:

- A- Option A is incorrect because “it is the other way round.”
- B- PES does not measure how much supply changes in response to change in demand. Demand affects prices and therefore, it is price that affects qty supplied, thus making this incorrect.
- C- This is correct as PES does measure how much supply changes when there is a change in price, thus making option C correct
- D- No , this is absolutely incorrect. PES has nothing to do with measuring impact on supply based on changes in prices of related goods

9-D:

The percentage change in income has occurred by 20% , as incomes have risen from 20,000 to 24000 dollars

Let's calculate the percentage change in spending or qty demanded for all these goods

Good W : Initially 100 was spent , now 96 is being spent , which represents that qty demanded has fallen by 4%.

Income elasticity of demand: percentage change in QD/percentage change in income

-4%/ 20% will be **-0.2**

Good X: Initially 100 was being spent and now also 100 is being spent, representing that percentage change in qty demanded is occurring by 0%

YED: 0/20% , that is **0**

Good Y: Initially, 200 was being spent and now 224 is being spent, representing that percentage change in QD is occurring by 12%

YED: 12%/20% = **+0.6**

Good Z: Initially, 200 was being spent and now 248 is being spent, which means that percentage change in QD is occurring by 24%.

YED : 24%/20% that is **+1.2, which is why option D(Z only) becomes the answer**

10-D:

In order for the new equilibrium point to move to point 'X', an increase in demand(rightward shift in the demand curve),and a decrease in supply(leftward shift in the supply curve)will be essential.

A-A decline in popularity of cocoa would lead to a fall in demand for cocoa, which is not required. However, the removal of subsidy to cocoa producers will increase the cost of production, thereby resulting in a fall in supply, but overall this option is incorrect.

B-A decrease in disposable income, that represents actual purchasing power as this is the income which can be spent or saved, reduces the consumer confidence, and causes a decrease in demand for cocoa. However, a decrease in costs of production leads to an increase in supply. This option becomes incorrect.

C – An increase in disposable income does cause an increase in demand for cocoa. But since, an increase in the no of cocoa producers results in a rise in supply of cocoa, this option becomes wrong.

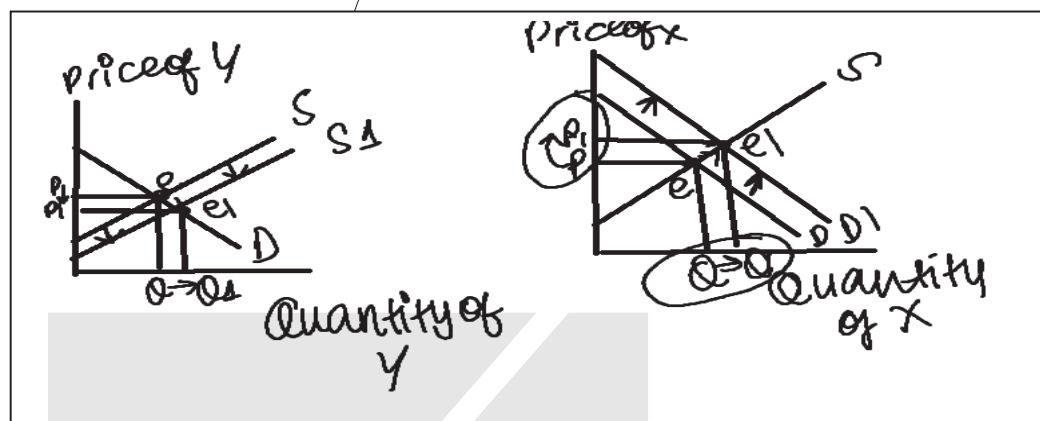
D – A successful advertising campaign will lead to an increase in demand for cocoa, whereas, an increase in taxation of cocoa, results in a fall in supply due to a rise in costs of production. This is why, this is correct.

11-D:

An increase in supply for good Y results in a fall in the price of good Y, as a result of which there is a rise in the demand for good X, that is the complementary good, since there is a negative relationship between the price of one good and the demand for another in case of complements.

This results in a **rise in equilibrium price of X**, and an **extension in quantity supplied of X**, since producers are signaled to sell greater units of X at a higher market price. This can be seen on the right.

This is why, option D will be correct.



12-C:

Prices **ration scarce resources** when demand outstrips supply.

When there is a **shortage**, price is bid up – leaving only those with **willingness and ability to pay** to buy.

- A- Price mechanism does not ensure that resource allocation is done keeping in consideration the wants or preferences of consumers, **instead, it ensures that “allocation is done on the basis of prices”**.
- B- The rationing function does not ensure that suppliers cannot make excessive profits, which is why this option is wrong, as upon rise in prices, if suppliers manage to sell, they can maximize profits.
- C- According to the rationing mechanism, rising prices only exclude those with insufficient willingness or ability to pay, or in other words, an ineffective demand from consuming the good, whereas, those with **sufficient willingness and ability to purchase the good at the market price are left to buy the good**, this is why this option is correct.
- D- The allocation of goods does not keep consumer's wealth into consideration, **instead, it is done on the basis of prices.**

13-A:

A – If we subtract from OPWQ that is the Total Revenue, the marginal cost that is OUWQ (the area included in the region of Total Revenue but below the supply curve), we obtain producer surplus, which is why this option is correct.

B: This represents Total Revenue minus producer surplus which is why this option is incorrect.

C: If we subtract from Total willingness represented through OVWQ, the area of Total Revenue i.e. OPWQ, we get consumer surplus as the answer, therefore making this option incorrect.

D: If we subtract from Total Willingness represented through OVWQ, the area of consumer surplus represented through PWV, we get Total Revenue as the answer, making this incorrect.

14-A:

In this scenario, a maximum price legislation is imposed by the government and we are asked to identify which statement is incorrect.

A-Since prices are lowered through this, the consumer surplus rises, and the total expenditure of consumers falls. But, from the producer's perspective, the Total Revenue is minimized, since the producer contracts quantity supplied, and since the total revenue does not increase as claimed by the question, this option is correct.

B-This may lead to the supply being restricted by the producer, who after realizing the nature of the product, that flour is a necessity good with an inelastic demand, may engage in illegal selling, which may be encouraged, which means it is rightly stated. **When quantity is restricted, some consumers will be willing to pay a higher unofficial price.**

C-Since prices are lowered, the quantity supplied of flour will contract, this too is rightly spoken.

D-As a result of this, the quantity demanded extends, whereas quantity supplied by producers' contracts, thereby causing shortages (excess demand) to develop, which is rightly spoken too, thereby making this option incorrect.

15-A:

* The first 20,000 of earned income is not taxed.
* Any income earned above 20,000 is taxed at 20%.

* A consumer earns 30,000
* 10,000 will be taxed
($10,000 \times 20\% \Rightarrow 2000$)
Average rate of tax = $\text{Tax} / \text{Income} \times 100$
 $\Rightarrow 2000 / 30,000 \times 100$
 $\Rightarrow 6.67\%$

Average rate of tax rises upon a rise in income
↓
The tax is progressive

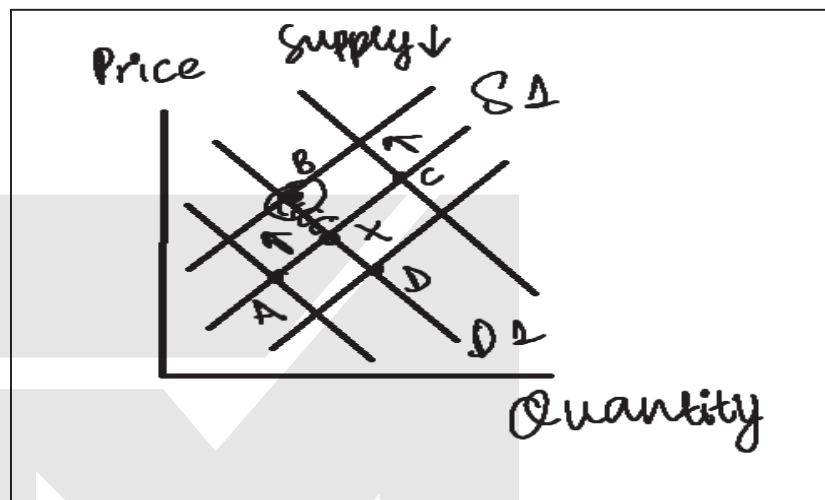
* A consumer earns 40,000
* 20,000 will be taxed.
($20,000 \times 20\% = 4000$)
Average rate of tax $\Rightarrow$
 $4000 / 40,000 \times 100$
 $\Rightarrow 10\%$

-> Since, there is a taxable allowance of 20,000, this means that incomes below 20,000 or of 20,000 will be exempted from payment of tax, which means that, it is a "progressive tax on incomes more than 20,000", thus making key A correct.

16-B:

Subsidy is a financial incentive: a cash or a grant payment that is provided by the government to the producer, which is aimed to reduce their cost of production, and encourage an **increase in supply**

As a result of removal of subsidies on fossil-fuel, the costs of production of firm would increase, thereby resulting in a leftward shift in the supply curve, as a result of which, the new equilibrium point from X to 'B' will be achieved. This can be seen in the diagram on the right.



17-A:

Option A is correct because one of the primary aims of transfer payments is to alter the final distribution of income. By providing financial assistance to individuals or groups, the government can help address income inequality and promote social welfare. Transfer payments can be targeted towards low-income individuals, retirees, disabled individuals, or other specific groups to ensure a more equitable distribution of income.

Options B, C, and D are incorrect because they do not accurately describe the aims of transfer payments:

Option B suggests that transfer payments provide a ceiling for income levels across the economy. However, transfer payments do not establish an upper limit on income but rather seek to address income inequalities and provide assistance to those in need.

Option C implies that transfer payments eliminate the need for state subsidies. However, transfer payments may increase the need of state subsidies.

Option D states that transfer payments reward the activity of a factor of production. However, transfer payments are not linked to rewarding factors of production, as **they are payments made without receiving goods and services in exchange**

18-D:

A : Option A represents a valid statement as one of the reasons of nationalization may be that private rail companies exploit consumers by charging high prices.

B: This is also a valid statement as private rail companies may demonstrate a monopolistic behavior and therefore end up making abnormal profits.

C: Again, this is a valid statement as railways are an essential part of national infrastructure, this is because, they increase accessibility for consumers and encourage "industrial development"

D: This is not a reason behind railways being nationalized. Railways are not a "public good" as an allocative mechanism known as price mechanism can be used to charge a fare to consumers .This is why, this is correct

19-A:

We are interested in an option that results in a rightward shift in the Aggregate demand curve

A – A fall in budget surplus represents a move towards a deficit. It occurs when the government increases its public spending relative to tax revenues, which decrease because of a reduction in taxes. A rise in government spending represents injections into the circular flow, leading to a rise in Aggregate demand , thus making it correct

B- A fall in trade surplus which represents import expenditures exceeding export revenues , represents net leakages from the circular flow, which will result in a fall in Aggregate demand

C- A rise in imports again represents that less of domestic consumption is being done ,and this fall in consumption expenditure will cause a decrease in Aggregate demand.

D – A rise in interest rate after having increased the incentive to save, when results in a rise in savings ratio means that spending, or in other words , consumption will reduce , leads to a fall in Aggregate demand.

20-C:

20 The table shows the consumer price index (CPI) and national output at current prices in 2014 and 2015 for an economy.

year	CPI	national output at current prices
2014	100	100
2015	120	110

Handwritten notes:

- $\% \text{ change} = \frac{\text{New} - \text{Old}}{\text{Old}} \times 100$
- $\% \text{ increase in inflation} = 20\%$ (with arrow from 100 to 120)
- $\% \text{ increase in national output} = 10\%$ (with arrow from 100 to 110)
- What can be concluded when 2015 is compared with 2014?
- A Money national output decreased by 10% $\times$ NO
- B Money national output increased by 20% $\times$ It increased by 10%
- C Real national output fell. $\checkmark$
- D Real national output increased $\times$ NO
- Real output $\Rightarrow$ National output - Rate of inflation
- $\Rightarrow$ Real output $\Rightarrow 10\% - 20\%$
- It fell $\hookrightarrow = -10\%$

21-A:

Depreciation after having made exported goods relatively competitive would result in an extension in international qty demanded of exported goods by a relatively higher percentage when the demand for them is elastic, leading to a rise in **export revenues , which represents injections into the circular flow, leading to a rise in “Aggregate demand” causing the AD curve to shift rightwards**

Now since depreciation makes imported goods relatively expensive, there will be a contraction in qty demanded of imported goods by a relatively smaller percentage when the demand for them is inelastic, leading to a rise in import expenditures, which results in an increase in costs, thereby causing a decrease in, or in other words, a leftward shift in the **Aggregate Supply curve, leading to a new equilibrium point to be achieved from “X” to “A”**

22-D:

A – Exports of services represents the component “trade in services” which is included in the current account.

B and C- Interest on foreign loans and profits from overseas investments is again an inflow in the primary income section of the current account, which is a component of the current account.

D: The purchase of foreign assets represents investments, that is a part of “financial account”

23-B:

The government aims to **raise the external value of the exchange rate, or in other words, appreciate the exchange rate.**

- A- A reduction in foreign direct investment will lead to a fall in the demand for the currency, resulting in “depreciation” of the ER.
- B- Raising “interest rates” would attract foreign direct investment , and due to a rise in hot money inflows, the demand for currency will increase ,leading to appreciation of the ER.
- C- The question is how will the government raise Aggregate demand in a way that it leads to an appreciation in the exchange rate. The answer is that, it can do so by increasing export revenues .But ,this is not in the control of the government, since it also **depends upon price elasticity of demand .**
- D- If the government removes quotas on imported goods, it will lead to a rise in import expenditures, resulting in a rise in the supply of currency, subsequently causing a fall in the exchange rate.

24-C:

- 24 Country X conducts 60% of its trade with country Y and 40% of its trade with country Z. The initial value of the trade-weighted exchange rate index of country X is 100.

What will be its new trade-weighted exchange rate index value if its currency falls in value by 20% against the currency of country Y and rises by 10% against the currency of country Z?

~~A~~ 84 B 90 **C 92** D 116

Country	Proportion of trade performed with the country.	Exchange rate after adjusting for changes	Total
Y	60% X	$100\% - 20\% = 80\%$	0.48
Z	40% X	$100\% + 10\% = 110\%$	0.44

0.48 + 0.44 = 0.92 → This represents eq 29.

25-C:

Terms of trade is the ratio of export prices to the ratio of import prices.

- A- If export prices fall while import prices remain unchanged, this represents a fall in numerator, indicating a "fall in terms of trade"
- B- Revenue is price*qty. We cannot comment anything about prices based on the information of revenue from the exports of services. Qty is dependent upon many factors including PED
- C- An appreciation represents a situation whereby the prices of exports rise relative to the prices of imports that fall, which will lead to a **rise in the terms of trade, thus making this option correct**
- D- Expenditure is price*qty. We cannot comment anything about prices based on the information of value of imports given, as it is dependent upon many factors including PED

26-B:

26 The table shows the production possibilities of cloth and food in four countries using all of their resources.

* For trade to be successful, ER must lie between the opportunity ratios of 2 countries.

country	cloth (million units)		food (million units)
V	40	or	8
X	28	or	4
Y	8	or	2
Z	5	or	5

C: f C: F
 $40/8: 1 \rightarrow 5:1$
 $28/4: 1 \rightarrow 7:1$
 $8/2: 1 \rightarrow 4:1$
 $5/5: 1 \rightarrow 1:1$

If the world exchange rate is 1 unit of food for 6 units of cloth, with whom is V likely to trade?

A X and Y

B X only

C Y and Z

D Z only

ER

X

1 food = 5 clothes

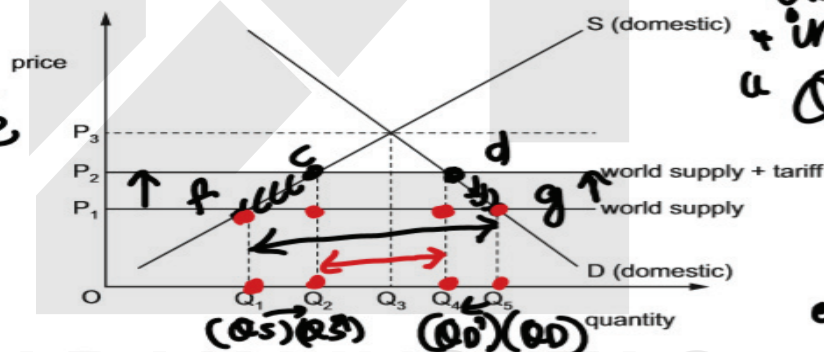
1 food = 6 clothes

1 food = 7 clothes

27-B:

27 The diagram shows the domestic and world demand and supply for a good.

Imports $\Rightarrow$ volume of shortage



old volume of imports = "Q5 Q1"
 * New volume of imports $\Rightarrow$ "Q4 Q2"

The government imposes a tariff on imports of the good.

What will happen to the quantity imported?

A It will fall from Q_1Q_3 to Q_2Q_3 .

B It will fall from Q_1Q_5 to Q_2Q_4 .

C It will fall from Q_2Q_5 to Q_3Q_4 .

D It will fall from Q_5 to Q_4 .

28-D:

Supply side policies are aimed to increase Aggregate supply of the economy, and as a result of a rise in Aggregate supply, there is a surplus, and **in turn a fall in the general price level of economy, representing that cost push inflation is controlled.**

A: Quota is a tool of protectionism, which not only restricts qty, but also raises prices. Supply side policies do not result in a rise in price, thus making this incorrect.

B: A rise in interest rates to increase savings would reduce consumption expenditure, leading to a fall in Aggregate demand curve.

C: Indirect taxation will increase costs of production and decrease Aggregate supply, therefore making this incorrect

D: But, a subsidy being given to businesses will reduce costs of production and therefore, increase Aggregate supply, representing a “supply-side policy”

29-B:

The J-curve effect explains the short-term dynamics of a currency devaluation on the trade balance, with an initial worsening followed by improvement.

In the short term, after a currency devaluation, the prices of imported goods increase, making them more expensive for domestic consumers. As a result, the demand for imports tends to be inelastic, meaning that the quantity of imports demanded does not change significantly in response to price changes. Therefore, the value of imports may not decrease proportionally to the increase in prices, leading to a worsening trade balance initially.

Similarly, the prices of exports decrease due to the devaluation, making them relatively cheaper for foreign consumers. However, in the short term, the quantity of exports supplied may not increase significantly due to **inelastic demand**, as exporters may face constraints in adjusting production levels or finding new markets promptly.

The Marshall-Lerner condition analyzes the long-term impact of a currency devaluation on the balance of trade. It states that for a devaluation to improve the trade balance, the sum of price elasticities of demand for exports and imports must be greater than one.

If the price elasticities of demand for exports and imports are elastic, a currency devaluation leads to a more than proportionate increase in export revenues and a more than proportionate decrease in import expenditure. This results in an improvement in the trade balance.

This short run and long run impact is portrayed in curve B.

30-C:

Increasing the budget surplus: A budget surplus occurs when government revenues exceed expenditures. Increasing the budget surplus means the government is reducing its spending or increasing its revenue through measures like higher taxes or reduced government expenditure.

Reduced government spending: When the government reduces its spending, it reduces the overall demand in the economy. This reduction in aggregate demand can help alleviate inflationary pressures, as there is less demand for goods and services in the economy. Lower demand can lead to reduced upward pressure on prices.

Increasing interest rates: Central banks can increase interest rates as a monetary policy tool to reduce inflation. Higher interest rates affect the economy :

Increased cost of borrowing: Higher interest rates make borrowing more expensive for businesses and individuals. This reduces investment and consumption spending, leading to a decrease in aggregate demand. As with reducing government spending, lower demand helps alleviate inflationary pressures.

This is why, key C becomes correct.

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